

other things that enable you to live the life you want. Combined with a high savings rate, the simple path provides an investment approach that enables you to achieve FI quickly.

One of Collins's controversial points is that "the market always goes up." Anyone who has ever watched the news or picked up a newspaper knows this is not true. On any given day of any week, the market can fluctuate up or down by a percent or two of its value—and sometimes much more. This is the equivalent of billions of dollars gained or lost. The worst single-day drop for the Dow Jones Industrial Average occurred on "Black Monday," October 19, 1987, when the market's value dropped by 22.6 percent. A graph of stock prices over a day, week, month, or even a year can look a lot like the printout from an EKG heart monitor, with peaks and valleys interspersed.

But if we zoom out and look at stock market performance over a longer period, say five years, the picture starts to look much different. Instead of seeing a bunch of seemingly random peaks and valleys, you see a smoother line trending in one direction. Zoom out to ten years, then twenty years, then fifty years, and the same stock price graph looks completely different. The line connecting these points smooths while traveling consistently up and to the right.